1.3 Hamilton's Economic Plan

Can you spare a cool $54 million? The American Revolution was a success, but that's how much the Patriots had to borrow to pull it off. Now it was time to pay back the debt. The question was how?

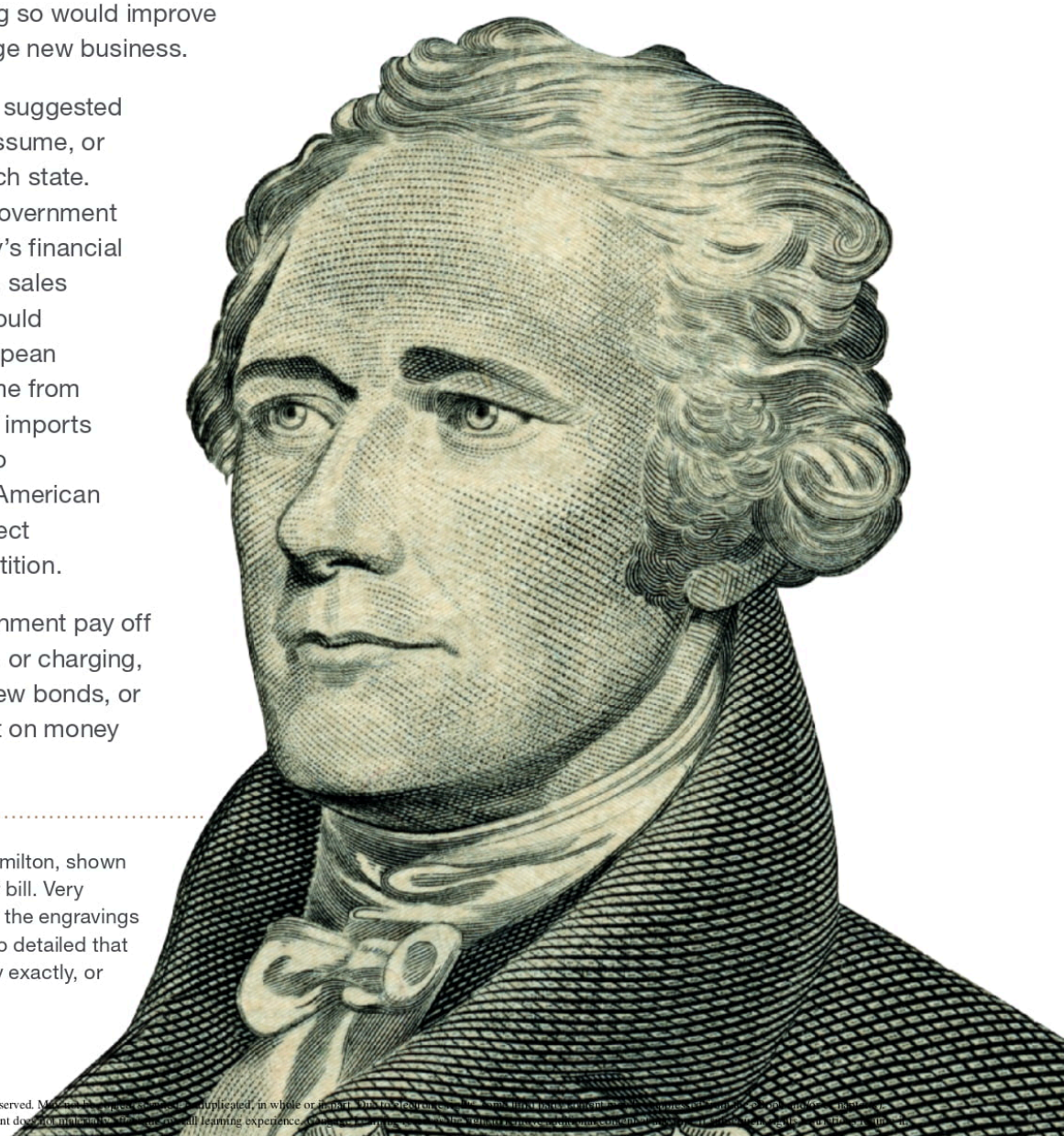
MAIN IDEA The United States had to develop an economic strategy for the new nation, but conflicting political points of view made planning difficult.

THE PRICE OF WAR

In addition to America's whopping **national debt**, individual states collectively owed another $25 million. Foreign governments and Americans who had helped finance the war were waiting to be repaid. Secretary of the Treasury Alexander Hamilton wanted the U.S. government to demonstrate it could be trusted to take care of its financial responsibilities. Doing so would improve America's credit and encourage new business.

An ardent federalist, Hamilton suggested that the federal government assume, or take over, the war debts of each state. This strategy would give the government more power to run the country's financial affairs. Under Hamilton's plan, sales of federal lands in the West would finance the repayment of European loans. More money would come from increased **tariffs**, or taxes on imports and exports. Tariffs would also encourage Americans to buy American goods, which would help protect industries from foreign competition.

Hamilton suggested the government pay off the rest of its debts by levying, or charging, certain taxes and by issuing new bonds, or investments promising interest on money loaned. Investors would buy these bonds because the interest would produce big profits over the long run. Finally, to stabilize the nation's finances, Hamilton proposed a common currency and a National Bank. This bank would collect taxes, hold government funds, and promote business and industry by issuing loans. Hamilton envisioned the United States as a strong industrial nation.



The engraving of Alexander Hamilton, shown here, appears on the ten-dollar bill. Very narrow lines are used to create the engravings on U.S. money, making them so detailed that it is virtually impossible to copy exactly, or counterfeit, paper money.

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Silver Dollar

During the American Revolution, individual states and the Continental Congress printed their own paper money. Those notes lost value very quickly and were worth almost nothing by the end of the war. Later, when the Constitution gave Congress the sole power to issue national currency, Alexander Hamilton recommended the nation adopt a silver dollar coin. He also suggested using fractional coins to represent smaller parts of a dollar. The Coinage Act of 1792 established the United States Mint—a facility for manufacturing coins—and regulated the coinage of the United States.

The act established the dollar, half-dollar, quarter-dollar, "disme," "half-disme," cent, and half-cent as the denominations of coins. The word *disme* became what we know as "dime." A "half-disme" is now a nickel.

The first dollar coin, called the "Flowing Hair Dollar," from 1794, showed Liberty as a woman on one side (top) and an eagle surrounded by a wreath on the other (bottom). In 1790, you could have used this coin to buy a bag or two of groceries. Ten of the coins could buy you a cow.

CRITICS WEIGH IN

Thomas Jefferson, on the other hand, envisioned an agricultural nation. He and other antifederalists opposed the strong central government and National Bank that Hamilton envisioned. A National Bank, they feared, would favor the interests of business over agriculture—specifically, the interests of the industrial North over those of the agricultural South. And southern states had even more reasons to oppose Hamilton's plan. Most had already paid their war debts. Hamilton ultimately won the South's favor by promising to relocate the nation's capital to Virginia, in an area that would eventually become Washington, D.C., the current capital of the United States.

Jefferson also opposed a National Bank because he believed it would give the federal government unlimited powers and go against the Constitution. But since the Constitution didn't expressly forbid the creation of a National Bank, Hamilton claimed the federal government had every right to establish one. Congress agreed. In 1791, it passed a bill creating a National Bank for a term of 20 years, and President Washington, who also supported Hamilton's views, signed it into law. In December of 1791, the Bank of the United States opened its doors in Philadelphia. Branches soon were established in major cities such as Boston, New York, Charleston, and Baltimore.

Both Jefferson and Hamilton were dedicated to the success of the new administration and the country. However, each man often advised Washington to ignore the counsel of the other. This made them personal adversaries, or opponents. In a letter to Washington written in 1792, Jefferson claimed that Hamilton's allies in Congress were a "corrupt squadron [military unit]," whose "ultimate object . . . is to prepare the way for a change, from the present republican form of government, to that of a monarchy, of which the English constitution is the model." The very nasty and public feud that developed between Jefferson and Hamilton greatly distressed Washington.

HISTORICAL THINKING

1. **READING CHECK** Why did Hamilton think it was crucial for the United States to repay its debts to European nations right away?
2. **COMPARE AND CONTRAST** Describe Jefferson's and Hamilton's different visions for the new nation.
3. **IDENTIFY PROBLEMS AND SOLUTIONS** How did Hamilton propose to pay off the national debt?

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